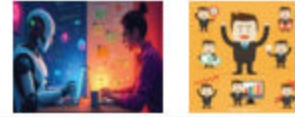


UNIT 06

ENTREPRENEURSHIP IN DIGITAL AGE



Student Learning Outcomes:

After the completion of this unit students will be able to:

- Define the term “Entrepreneurship”.
- Discuss different types of entrepreneurs.
- Distinguish between Digital and Traditional Entrepreneurship.
- Describe the Entrepreneurship process.
- Identify the use of technology in entrepreneurship.



Introduction to the Unit:

This unit covers the basic concept of entrepreneurship. It also explores different types of entrepreneurs gives a brief overview of traditional and digital entrepreneurship, and provides details of the entrepreneurship process.

6.1 Entrepreneurship

Entrepreneurship is the process of encouraging people to develop new ideas, create products or services, and take the necessary steps to start their businesses. For example, opening a tuck shop near your home.



Figure 6.1 Entrepreneurship is to start a new business

In simple words, it is the process of starting a new business to make a profit. Let's say you love samosas, so you come up with a recipe for super delicious samosas. You think other people might want to buy them too. So, you start making samosas at home and selling them to your friends and neighbors. As more people buy your tasty samosas you start selling them at local markets and maybe you will open your shop. This is entrepreneurship turning your idea into a business. There are two types of entrepreneurships which are Traditional entrepreneurship, and digital entrepreneurship.

6.1.1 Traditional Entrepreneurship:

Traditional entrepreneurship is starting and running your businesses through Street stalls and shops as shown in figure 6.1.1. Here are some characteristics of traditional entrepreneurship.



Figure 6.2 Example of Traditional Entrepreneurship (local market shop)

I. Physical Presence

Traditional entrepreneurship typically involves physical existence such as offices and shops.

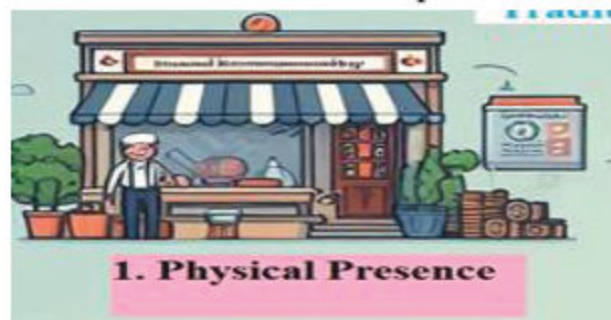


Figure 6.2(a) shows a traditional store

II. Local Market Focus

Traditional entrepreneurs normally focus on the local market but some may increase their business nationally or internationally over time.



Figure 6.2 (b) Shows various

III. Traditional Marketing Methods

Traditional entrepreneurs rely on conventional marketing methods, such as printed posters, newspaper ads, radio and TV commercials.



III, Traditional marketing methods

Figure 6.2 (c) Traditional advertising methods

IV. Direct Sales Methods

Traditional entrepreneurs sell products through their stores, direct sales or distribution systems.



IV. Direct Sales Methods

Figure 6.2 (d) Food stall directly selling to the customers

V. Face-To-Face Interaction

In traditional entrepreneurship, Face-to-face interaction with customers is common.



5. Customer Interaction

Figure 6.2 (e) shows Face to Face interaction with customer

6.1.2 Digital Entrepreneurship

Digital entrepreneurship or modern entrepreneurship refers to starting and managing a business with the help of the Internet and ICT devices. Online shopping websites and online education websites are examples of digital entrepreneurship. Here are some characteristics of digital entrepreneurship.



Figure 6.3 Digital Entrepreneurship

- I. **Online Presence:** Digital entrepreneurship operates through online platforms, websites, and digital marketplaces.



Figure 6.3 (a) online presnce

- II. **Global Reach:** Digital entrepreneurs can reach a global audience as they start because of the worldwide reach of the internet.

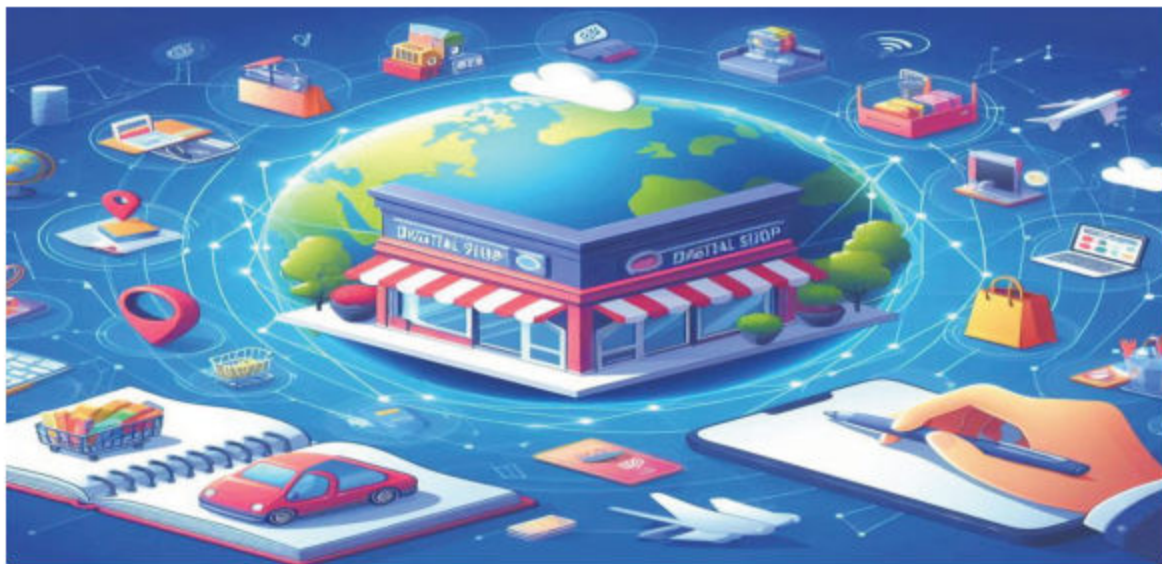


Figure 6.3 (b) Internet provides global reach to business

- III. **Digital Marketing:** Digital entrepreneurs use digital marketing methods such as social media, search engine optimization (SEO) tools, content marketing, email marketing and online advertising.



Figure 6.3 (c) Digital Marketing

- IV. **E-commerce:** Digital entrepreneurs often sell products or services online through e-commerce platforms, digital storefronts or subscription models.



Figure 6.3 (d) E-commerce

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- A central illustration of a woman with dark hair wearing a headset, sitting at a laptop. The laptop screen shows a user interface with a profile picture, text, and buttons. Surrounding her are various icons connected by dashed lines, representing different digital marketing and e-commerce concepts: a bar chart, a lightbulb, a gear, a shopping bag, a shopping cart, a smartphone, a CD/DVD, a potted plant, a shopping cart with items, a book, a heart, a plane, a mail envelope, a document, a speech bubble, and a person in a headset. The background is a light blue sky with clouds.

Local markets and physical interaction are the main features of traditional entrepreneurship. In contrast, digital entrepreneurship uses digital technologies for marketing, sales and customer interaction. The table below shows the difference between some of the characteristics of traditional and digital entrepreneurship





Figure 6.4 (b) Traditional Entrepreneurship

Characteristics	Traditional Entrepreneurship	Digital Entrepreneurship
Location	Selling products in your locality	Selling things(products) online to people around the world
Business example	Selling from a stall or stand (e.g, Samosa stand).	Selling digital things like games, stories, or art online
Customer dealings	Talking to customers face-to-face	Chatting customers online
Marketing	Traditional methods like print, radio and TV advertising	Digital marketing approaches such as SEO, PPC, social media

ACTIVITY

The teacher will divide the class into groups and assign each group to open a food stall of different snacks on the school playground e.g. samosa stand, channa chat stand or salad stand with a budget of Rs 1000. The teacher guides them to fill below table where students write details of all the expenses they do to open their stalls.

Expenses	Amount in Rs



6.2 Entrepreneur

An entrepreneur is someone who begins a business and is prepared to take a loss or profit. He/she is a leader who goes through challenges and opportunities to bring his/her ideas to life.

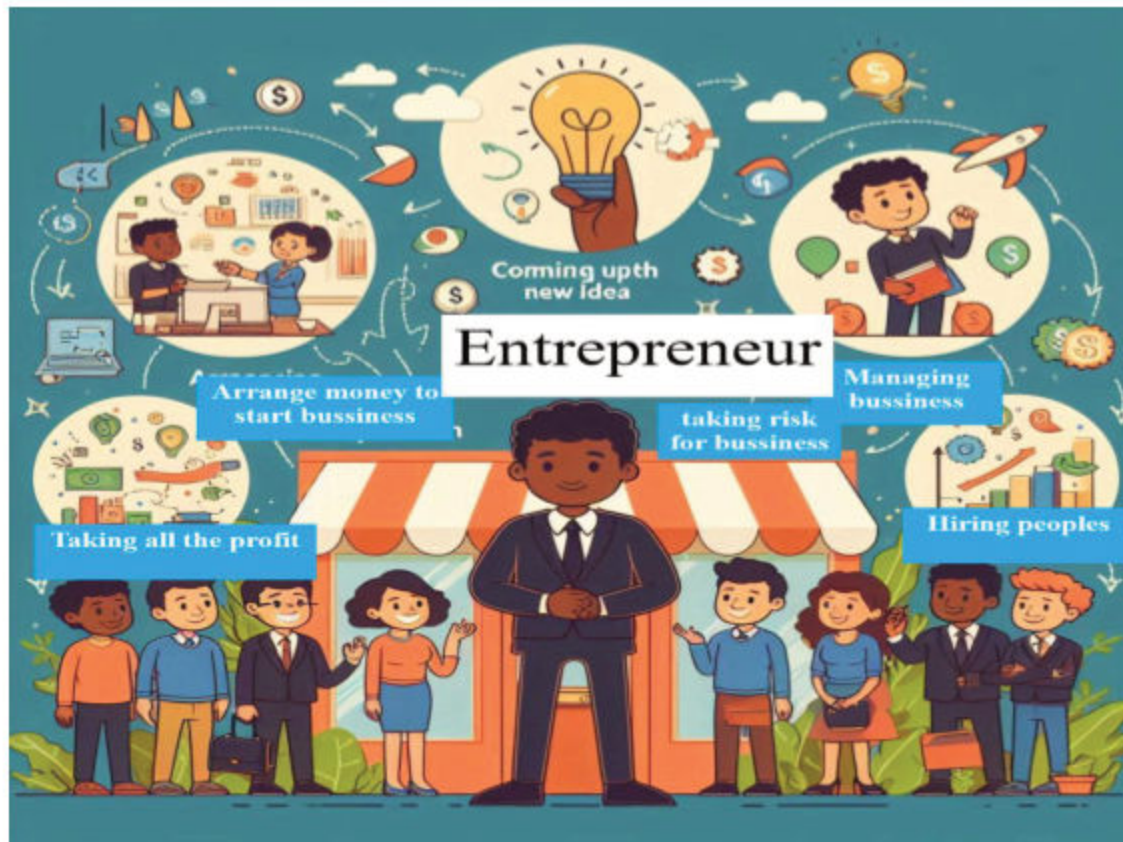


Figure 6.5 Characteristics of Entrepreneur

An entrepreneur starts a new business and creates employment possibilities while coming up with different concepts, goods, and services that can improve people's lives. They hire more workers as their business grows. Both local and global economies improve as entrepreneurs achieve success.

6.2.1 Types of Entrepreneurs

There are many types of entrepreneurs with special characteristics and approaches to business. Here are some common types of entrepreneurs.



Figure 6.6 Types of Entrepreneurs

I. Innovator

An innovator entrepreneur is a person who comes up with new ideas and creates things that have never been made before. Thomas Edison was one of the greatest innovative entrepreneurs in history, who invented the light bulb. Another example of an innovator is Graham Bell who invented the Telephone.



Figure 6.6 (a) Innovator

Characteristics of Innovator	
Creativity	Always come up with a new idea.
Risk Taker	Willing to take risks for their business
Customer Focus	They put customer satisfaction comes first.

II. Hustler

Hustler entrepreneurs are people who grab opportunities. They can overcome challenges and disappointments and are uncompromising in their search for openings in business.



Figure 6.6(b) Shows characteristics of Hustler

A famous hustler entrepreneur from Pakistan is Arshad Khan, commonly known as the "Chaiwala" (tea seller). When a picture of him serving tea at a local stall went viral on social media, he became popular. Taking advantage of his popularity, he opened his teashop in Islamabad. His successful business journey shows a true hustler characteristic which is to identify and grab opportunities to be successful.

Characteristics of Hustler	
Strong-minded	They dream big and work hard to achieve it.
Grab Opportunity	Whenever they sense any opportunity, they work hard to use it.
Hard Worker	They work very hard to be successful.

III. Imitator

Imitator entrepreneurs take any proven business ideas and use the same idea in new markets or industries. Instead of developing new products or services, imitators focus on replication, alteration and modernization. For example, Bykea car and bike ride-booking app adopted the same idea as another online car ride booking app Uber.

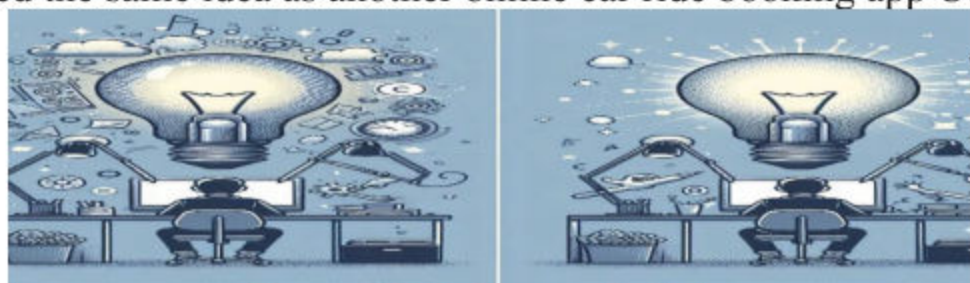


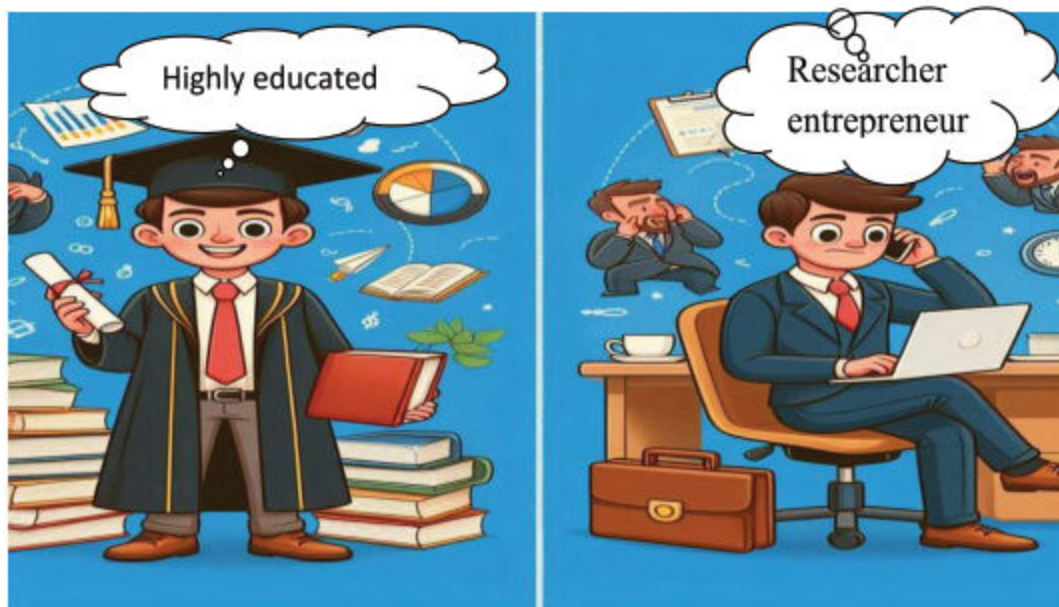
Figure 6.6(c) shows an Imitator

Characteristic Of Imitator	
Ability to Refine ideas	Improve a business idea rather than coming up with new ideas.
Good learner	Learn from other business mistakes and avoid these mistakes when doing the same business.
Analysis Skill	Do an accurate analysis that the copied idea will work in the new market

IV. Researcher

The researcher entrepreneur is a science genius with curiosity and the craving to invent. Often highly educated with advanced degrees. One outstanding researcher entrepreneur from Pakistan is Dr. Atta-ur-Rahman. Dr. Rahman is a renowned scientist and scholar who has made significant contributions to the field of chemistry and pharmaceutical research.

Figure 6.6(d) Researcher Entrepreneur



Characteristics of Entrepreneur

Highly educated	They are highly educated with advanced degrees like PhD.
Curiosity	They ask questions and want to learn and create new things
Communication skill	They are very good at explaining their ideas to their team and customers.

V. Buyers

The buyers' entrepreneurs search to buy a running business and drive it to new heights. They have prior expertise in that particular business which gives them confidence in anticipating profit. A famous example of a buyer entrepreneur from Pakistan is Malik Riaz Hussain. He is the founder and chairman of Bahria Town, one of the largest real estate development companies in Asia.



Figure 6.6 (e) Shows the characteristics of Buyers entrepreneur

Characteristics of Buyer	
Experienced	They have previous know-how in that particular business
Rich	They have the right amount of money to buy.
Confident	Have a sense that purchased business will give them profit.

6.2.2 Some of the Entrepreneurs of Pakistan

I. Salim Ghauri

Salim Ghauri is known as “Bill Gates of Pakistan” He is the founder and CEO of NetSol Technologies one of the biggest IT firms in Pakistan. He shares his entrepreneurship journey in his book named “From Nothing To Everything”.

II. Monis Rehman

Monis Rehman is an engineer with a keen interest in technology. His career started with several leading tech companies in the USA. After returning to Pakistan, he co-founded Naseed Networks, Inc. and rozee.com the leading job marketplace in Pakistan.

III. Hakim Muhammad Saeed

Hakim Muhammad Saeed, a notable figure in Pakistan, was renowned for his entrepreneurial journey, primarily in traditional medicine and education. He is the Founder of the Hamdard Foundation and Hamdard University Karachi.

IV. Sidra Qasim

Sidra Qasim is the founder of Markhor, a Pakistani startup that produces handcrafted leather shoes. Markhor gained international recognition for its unique business model and high-quality products.

6.3 Entrepreneurship Process



Figure 6.7 Entrepreneurship Process

The entrepreneurship process is the process needed to start your business. This process typically involves five phases as given below

I. Opportunity Identification

In this step, entrepreneurs find an opportunity/idea to start a new business. To do so they need analysis, investigation, and a creative mind to come up with an idea.

II. Opportunity Analysis

After finding an opportunity/idea, we will write down all the requirements. This includes estimating market demand, competition, risks, and the money required to implement the idea. This phase helps entrepreneurs determine whether the idea is profitable and whether they have the skills and funds to succeed.

III. Business Planning

Here entrepreneurs develop and write down a detailed business plan that recaps their idea, aims, target market, advertising strategy, money needed and working plan.

IV. Implementation

With a solid business plan in place, entrepreneurs implement their ideas by using funds, developing products or services, starting promotion campaigns and starting operations.

V. Growth and Scaling

As the business becomes successful, entrepreneurs focus on expanding into new markets and making it big.

These five phases provide an outline for understanding the entrepreneurship process. However, it's important to note that entrepreneurship is a never-ending and repetitive process and also the actual process may differ based on market environments, diverse situations and trade dynamics.

6.4 Use of Technology in Entrepreneurship

Technology made entrepreneurship easy in many ways because of technology entrepreneurs can reach customers around the globe. Technology makes it easier to run your own business. Here are some uses of technology in entrepreneurship.

I. Digital Marketing & E-commerce

Through digital marketing, businesses promote their products and services to capture customer attention and through E-commerce platforms sell their products.

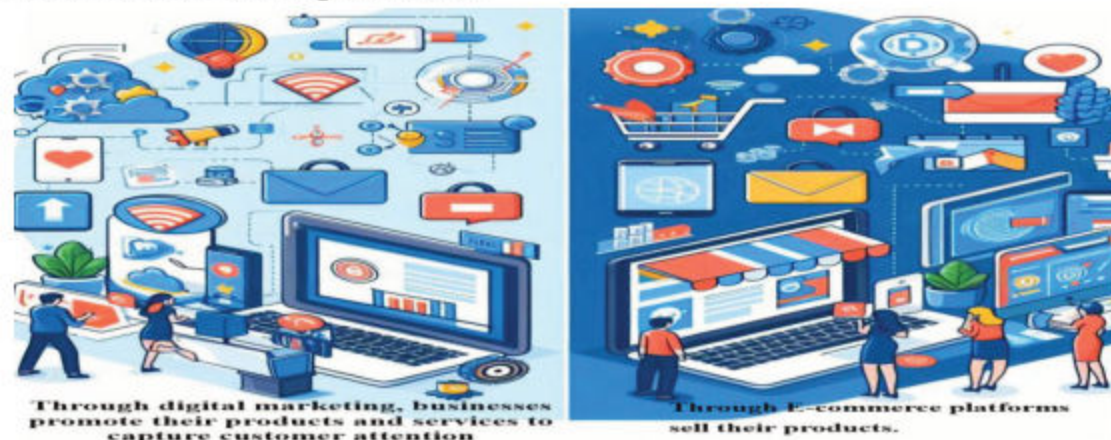


Figure 6.8 (a) Shows Digital Marketing and E-Commerce

II. Mobile Applications

As the usage of mobile phones increases nowadays, developing a mobile can help your business build a stronger brand. A mobile app serves as an always-on brand ambassador.



Figure 6.8 (b) shows the reach of Mobile phone apps to customers.

III. Artificial Intelligence (AI)

AI helps entrepreneurship in many ways through AI you can generate logos for your business or can improve user interaction with customers through chat boat (an application of AI).



Figure 6.8 (c) shows the use of AI in designing logs and in Chat boat

IV. Collaboration Tools

Entrepreneurship requires consistent communication between teams and collaboration tools make it possible to connect to your team anywhere around the world-famous collaboration tools are Slack, Zoom or Microsoft Teams.



Figure 6.8 (d) Online collaboration Tools

To introduce the concept of digital marketing to student's teacher guides students in designing posters for publicity of their food stall (Previous activity) and the teacher helps them to post these posters on the school's Facebook page or on the school's WhatsApp group.



Summary

- The process of starting a business is called entrepreneurship.
- The person who starts a business and takes all the risk and profits is called an entrepreneur.
- There are different types of entrepreneurs like hustlers, innovators, Researchers and imitators.
- In traditional entrepreneurship works on physical interaction with clients and digital entrepreneurship works on digital interaction with the customer.
- The entrepreneurship process is nonstop and helps in developing a business.

Important Terms to Remember

AI	Using computers to do things that traditionally require human intelligence is called artificial intelligence (AI)
E-Commerce	E-commerce (electronic commerce) means selling things and services on the Internet.
ICT	Information and Communication Technology.
SEO	SEO (search engine optimization) is the method of improving your website to increase its visibility in Google, Microsoft Bing, and other search engines whenever people search for the products you sell. Services you provide.

Exercise

1. Encircle the correct answer

- i. The role of an entrepreneur is to:
 - a. Play sports
 - b. Starts and runs their own business.
 - c. Works for other people.
 - d. Try new things.
- ii. A business plan is a:
 - a. Recipe for cupcakes.
 - b. Roadmap for a business.
 - c. List of favorite toys.
 - a. Type of puzzle.
- iii. An innovation means:
 - a. Doing the same thing every day.
 - b. Coming up with new and better ideas.
 - c. Watching TV all day.
 - d. Ignoring problems.

- iv. An entrepreneur can learn from failure:
 - a. By giving up.
 - b. By trying again and learning from mistakes.
 - c. By blaming others.
 - d. By never trying new things again.
- v. Entrepreneurs who want to start a business should:
 - a. Wait for someone else to do it.
 - b. Try different ideas.
 - c. Watch TV all day.
 - d. Ask others to do it for you.

2. Fill in the blanks with appropriate given words

Opportunity, Identification, Profit, Technology, Buyers,
Entrepreneur

- i. Entrepreneurship is the process of starting a new business to generate _____.
- ii. _____ Phases involve research, analysis, and creative thinking to uncover opportunities for innovation.
- iii. _____ lead to economic growth by creating new markets and expanding existing ones.
- iv. The entrepreneurship process is _____ and helps in developing a business.
- v. _____ helps entrepreneurs use cool tools and gadgets to make their businesses better.

3. Provide descriptive answers of the following questions.

- i. What do you think a business plan is?
- ii. How do entrepreneurs sell their products or services?
- iii. What do you think opportunity identification means in entrepreneurship?
- iv. What do you think would be the most important characteristic of a successful entrepreneur?

- v. Write the differences between digital entrepreneurship and traditional entrepreneurship.

4. Class Activity

- i. As all of us live in different cities and every city has its special craft teacher engages students in an activity where students use their creativity and social media platforms like Facebook or WhatsApp to introduce the world to their native town crafts and help locals to sell these craft to the world.

Hint (for example Hyderabad is famous for Glass bangles, Nawabshah is famous for Sindhi embroidery)

- ii. The teacher divides the class into two groups of students one group will give a presentation on any famous Pakistani Traditional entrepreneur's journey to success and the other group will deliver presentations on any Pakistani Digital entrepreneur's journey

Note for Teachers

Teaching entrepreneurship to children is very challenging but if you give them real-life examples it will become easy to understand

- Encourage children to come up with their business ideas and help them develop a business plan.
- Let them work in teams by which they learn to do collaborative entrepreneurial projects.
- Tell your students stories of real entrepreneurs who have started successful businesses.
- Help them recognize the value of money and how to make wise financial decisions.